CISI Diploma in Investment Compliance

Regulation and Compliance

Chapter 2 Portal Slides

Knowledge | Skills | Conduct

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Chapter 2 Modules Overview

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Chapter 2 Modules Overview

Chapter summary

- Introduction to the FPC, PRA and FCA
- The Regulators' Statutory Objectives
- The FCA Handbook
- High Level Standards: Firms
- High Level Standards: Individuals
- The Conduct of Business Rules (COBS)

Chapter summary (cont.)

- Client Asset Regulations
- Regulator Enforcement Powers
- Complaints, the FOS and FSCS
- Whistleblowing

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Introduction to the FPC, PRA and FCA

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Categorising Authorised Firms

(2.1.1) Dual-regulated firms (‘PRA-firms’)

- Dual-regulated firms (‘PRA-firms’)
  - Deposit-taking institutions
  - Insurers
  - Significant investment firms
- PRA carries out prudential regulation only
- FCA carries out conduct regulation only

(2.1.2) Solo-regulated firms (‘FCA-firms’)

- FCA carries out prudential regulation
- FCA carries out conduct regulation

*Note: Together **PRA + FCA** are known as **‘The Regulators’***

Financial Policy Committee (FPC)

(2.1.1) Objectives of the FPC

1. **Main objective**
   - To help the Bank to achieve its financial stability objective by identifying, monitoring and taking action on systemic risks
2. **Secondary objective**
   - To support the economic policy of the government (i.e. for growth and employment)

Functions of the FPC

- Monitor the stability of the UK financial system to identify systemic risks
- Give directions to FCA or PRA when requiring microprudential measures
- Make recommendations to the Bank, Treasury, FCA, PRA or other persons
- Prepare and publish two financial stability reports per annum

Regulator Functions

(2.1.3) General functions of the FCA / PRA

- Make rules under FSMA
- Prepare and issue codes under FSMA
- Give general guidance under FSMA (FCA only)
- Determine the policy and principles with which the regulator performs its functions

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The Regulators' Statutory Objectives

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PRA – Objectives

(2.1.4) General objective of the PRA

- To promote the safety and soundness of PRA-authorised persons (PRA firms)
  - To be advanced primarily by:
    - Ensuring that the business of PRA firms does not destabilise the system
    - Minimising any adverse effect on stability caused by the failure of a PRA firm
    - Protecting the continuity of provision of core services
  - Key point: this is **not** to be regarded as requiring PRA to ensure that no PRA firm fails!

Secondary objective of the PRA

- To facilitate effective competition (this is subordinate to the general objective)

Insurance objective of the PRA

- To contribute to securing an appropriate degree of protection for those who are or may become policyholders (applies only to insurance firms)

FCA – Objectives

(2.1.3) Strategic objective of the FCA

- To ensure that the relevant markets function well

Operational objectives of the FCA

1. Consumer protection objective
   - To secure an appropriate degree of protection for consumers
2. Integrity objective
   - To protect and enhance the integrity of the UK financial system
3. Competition objective
   - To promote effective competition in the interests of consumers in the financial markets
4. Continuity objective
   - To protect the continuity of provision of core services

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The FCA Handbook

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FCA Handbook Structure

GLOSSARY GLOSSARY

BLOCK 1 HIGH LEVEL STANDARDS

PRIN; SYSC (incl. SMCR); COCON; COND; FIT; FINMAR; TC

BLOCK 2 PRUDENTIAL STANDARDS

GENPRU; BIPRU; IFPRU; INSPRU; MIPRU

BLOCK 3 BUSINESS STANDARDS

COBS; ICOBS; MCOB; BCOBS; CMCOB; CASS; MAR; PROD

BLOCK 4 REGULATORY PROCESSES

SUP; DEPP

BLOCK 5 REDRESS

DISP; CONRED; COMP

BLOCK 6 SPECIALIST SOURCEBOOKS

COLL; CREDS; CONC; FUND; PROF; RCB; REC

BLOCK 7 LISTING, PROSPECTUS AND DISCLOSURE

LR; PRR; DTR

Handbook Provisions

S138 FSMA 2000 gives legal effect to the rules and guidance of the regulators, set out in their handbooks

- Provisions of the handbooks
  - (R) Rules – rules are binding on authorised firms
    - Contravention of R may lead to enforcement action by the regulator and, in most cases, will give a right of action to private persons under s.138D
  - (E) Evidential provisions – non-binding, but show evidence required to demonstrate compliance with a rule
    - Compliance with E creates an assumption of compliance with the linked rule
  - (G) Guidance – non-binding, recommends means of compliance or courses of action to take
    - G is used to explain and throw light on the application of a rule; it is not binding and need not be followed to achieve compliance with the rule
  - (UK) Text from UK law – the FCA provides links to relevant laws, rather than copy and paste large chunks of text

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High Level Standards – Firms

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High-Level Standards – Summary

Firms (COND + PRIN / FR)

1. Satisfy the requirements of **COND**
2. Obtain **authorisation** from regulator
3. Comply with **PRIN** (if FCA firm)/**FR** (if PRA firm)

Individuals (FIT + COCON)

1. Satisfy the requirements of **FIT**
2. Obtain **approval** from regulator (if **senior manager**)/**certification** from firm (if **certification employee**)
3. Comply with **COCON** (individual and senior manager conduct rules)

Part 4A Permission Regime

(2.8.1) Threshold conditions for FCA-authorised firms (COND)

- Location of offices
- Effective supervision
- Appropriate resources
- Suitability
- Business model

Part 4A Permission Regime

(2.8.1) Variation of permission

- Regulator's own powers
  - Failure to satisfy COND
  - No regulated activity for 12 months
  - Desirable to advance regulator's objectives
- Change in control of authorised person
- Request by overseas regulator

Cancellation of permission/authorisation

- Regulator gives warning notice and decision notice
- Authorised person may appeal to the Upper Tribunal

Principles for Businesses (PRIN)

(2.6.1) Principles for Businesses (PRIN)

1. Integrity
2. Skill, care and diligence
3. Management and control
4. Financial prudence
5. Market conduct
6. Customers' interests
7. Communications with clients
8. Conflicts of interest
9. Customers: relationship of trust
10. Clients' assets
11. Relations with regulators
12. Consumer Duty

OR → Where Consumer Duty applies it replaces Principles 6 and 7

Fundamental Rules (FR) (PRA firms only)

(2.1.4) Fundamental Rules (FR)

1. Integrity
2. Skill, care and diligence
3. Prudence
4. Adequate financial resources
5. Effective risk strategies and risk management
6. Organise and control affairs responsibly and effectively
7. Relations with regulators
8. Resolution procedures

- If a PRA firm breaches any of the Fundamental Rules it will be liable to disciplinary sanctions as they are legally binding on firms
- Like the PRIN, the FR are applied proportionally to the size of the firm and the scope of its activities

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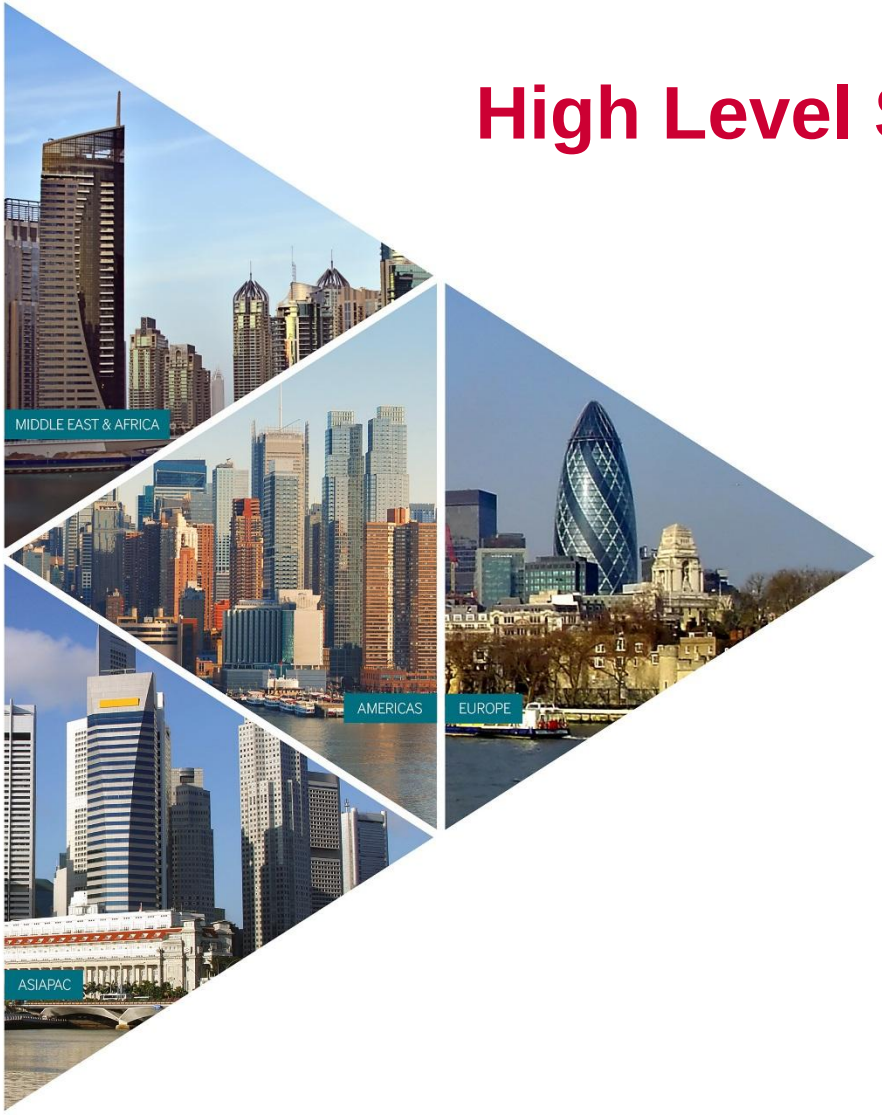

High Level Standards – Individuals: The SMCR Regime

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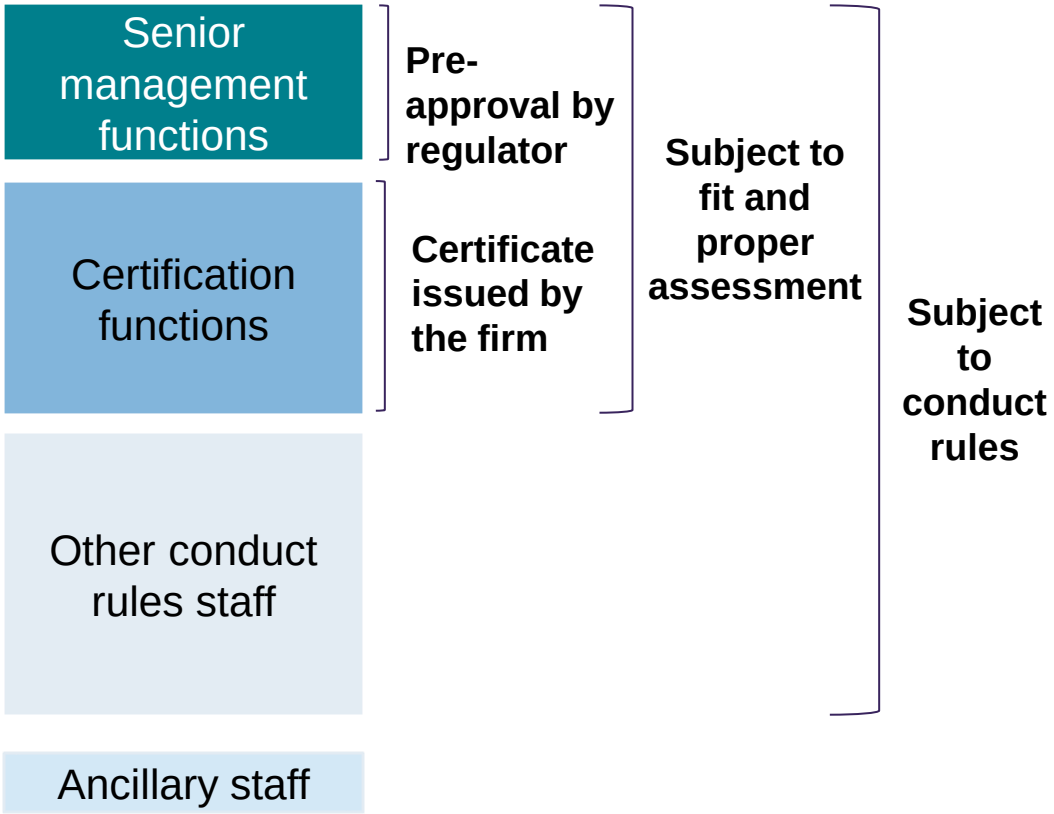
SMCR Overview

(2.2.1) Senior Manager and Certification Regime (SMCR)

- AKA the Individual Accountability Regime



Senior Managers Regime

(2.2.1) Senior manager functions

- Prescribed responsibility
  - Must be allocated to the most senior individuals
  - Set out in a Statement of Responsibilities (SoR)
    - Signed by the manager and filed with the regulator
  - For example
    - Executive and non-executive directors
    - Chair of key board committee
    - Implementation and oversight of SMCR and COCON
    - Policies and procedures on countering the risk of financial crime
    - Systems and controls functions
    - Heads of key functional areas

Senior Manager Functions

(2.2.1) Senior manager functions

- Senior managers have a duty of responsibility
  - Ability to prove they took reasonable steps to:
    - Fulfil any prescribed responsibilities
    - Prevent, stop or remedy breaches
  - Potential disciplinary action can be taken by the regulator
- Management responsibilities map
  - A collective view of the allocation of responsibilities across a firm
    - Assists the regulator in identifying who to speak to if something goes wrong

(1.1.15) Financial Services (Banking Reform) Act 2013, s.36

- Relates to ‘reckless misconduct’ in the management of a financial institution
  - Applies to individuals who are subject to the senior manager regime
- Penalty: seven years in jail and/or an unlimited fine

Senior Manager Functions

(2.2.1) Senior manager functions

- Handover procedures
  - To help ensure that a person taking a senior manager function has all the information and materials to do their job effectively
  - These documents should:
    - Be a practical and helpful document and not just a record
    - Include an assessment of what issues should be prioritised
    - Include judgement and opinion, not just facts and figures
  - Firms must have a policy which explains how it complies with this requirement, and maintain adequate records of the steps it has taken

Certification Functions

(2.2.2) Certification functions

- Those who pose the risk of significant harm to customer, the firm or the markets, for example:
  - CASS oversight
  - Benchmark submission and administration
  - Proprietary trader and algorithmic traders
  - Significant management
  - Client-dealing function
  - Functions requiring qualifications
  - Managers of certification employees
  - Material risk-takers
- Firm assesses fitness and propriety:
  - on appointments,
  - annually.

Classification of FCA SMCR Firms

(2.2.1) Type 1: Limited scope firms

- ‘Small’ FCA firms
  - Examples include consumer credit firms, claims management companies, sole traders and authorised professional firms
- Subject to Senior Managers Regime (SMR), Certification Regime (CR) and Conduct Rules (COCON) only

Type 2: Core firms

- Firms that are not Type 1 or Type 3 firms (i.e. most FCA firms)
- Subject to the ‘core’ requirements: SMR, CR, COCON, and Prescribed Responsibilities (PR)

Type 3: Enhanced firms

- ‘Large’ FCA firms
  - Examples include large investment firms and CASS large firms
- Subject to ‘enhanced core’ requirements: SMR, CR, COCON, PR, and responsibility map

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High Level Standards – Individuals: The Conduct Rules

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Conduct Rules (COCON)

(2.2.3) Individual Conduct Rules

- Individual ('First Tier') Conduct Rules
  1. You must act with integrity
     - A breach would be to deliberately mislead by act or omission
  2. You must act with due skill, care and diligence
     - A breach would be to act without full understanding or approval
  3. You must be open and co-operative with the FCA, the PRA and other regulators
     - A breach would be a failure to inform the FCA of anything of a nature that it would reasonably expect to be informed
  4. You must pay due regard to the interests of customers and treat them fairly
  5. You must observe proper standards of market conduct
     - A breach would be a failure to comply with the Code of Market Conduct
  6. You must act to deliver good outcomes for retail customers

OR → Where Consumer Duty applies Rule 6 replaces Rule 4

Conduct Rules (COCON)

(2.2.3) Senior manager conduct rules

- SC1 – Ensure that the business of the firm is controlled effectively
- SC2 – Ensure that the business of the firm complies with the relevant requirements and standards of the regulatory system
- SC3 – Ensure that any delegation of responsibility is to an appropriate person (and that the discharge of the delegated responsibility is effectively overseen)
- SC4 – Disclose appropriately any information of which the FCA or PRA would reasonably expect notice

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High Level Standards – Individuals: Fit and Proper Persons

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The Fit and Proper Test (FIT)

(2.9.1) The Fit and Proper Test (FIT)

- Fit and proper test
  - Honesty, integrity and reputation
    - Employment history (six years)
    - Criminal convictions (no time limit)
    - Breaches of FCA/PRA rules
    - Complaints
  - Competence and capability
    - Exam success
    - Experience and training
  - Financial soundness
    - Bankruptcy

A Note on the Approved Persons Regime (APER)

(2.9.1) Before SMCR regime

- Under APER, FCA set out a list of **controlled functions** (significant influence functions and customer functions) for authorised firms and appointed representatives
  - All staff performing any of these functions had to be approved by the FCA
  - APER included a list of **Statements of Principle** for approved persons and a **Code of Practice**
- SMCR has gradually replaced APER.
  - March 2016: banks, building societies, credit unions and PRA-designated investment firms (and UK branches of foreign firms)
  - December 2018: insurers
  - December 2019: all other ('solo-regulated') authorised firms

(2.2.1) And now?

- APER still exists, but has been superseded by SMCR for all authorised firms
  - APER continues to apply to appointed representatives only

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High Level Standards – Individuals: Training and Competency requirements

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Training and Competence (TC)

(2.12.1) Training and Competency requirements (TC)

- Background
  - PRIN 3, SYSC 5, COND 4 (Suitability), FIT 2 (Competence and Capability), COCON 2 (due skill, care and diligence)
  - These are enforced by FCA only (TC does not appear in PRA rulebook)
  - The rules in TC apply to business with retail clients only
- Employees of firms carrying on activities with or for retail customers must demonstrate competence
  - May require examination success
  - Firm responsible for making ultimate assessment of competence
  - Employees must be supervised by a competent supervisor
  - Competence must be regularly reviewed to ensure they remain competent
    - Technical knowledge and its application
    - Skills and expertise
    - Changes in the market and to products, legislation and regulation

Training and Competence (TC)

(2.13.1) Training and Competency requirements (TC)

- Each module of an appropriate examination must be passed before performing certain roles
  - Performing certain advising and dealing activities
  - Acting as a broker fund adviser
  - Advising on syndicate participation at Lloyd's
  - Acting as a pension transfer specialist
- List of appropriate examinations maintained by FCA
  - Relevant regulatory module, and
  - Relevant technical module (unless three years relevant non-UK experience)
- Time limit for attaining qualification
  - Within 30 months of starting, must have appropriate supervision whilst still studying
  - Firms may impose an earlier time limit, and/or limit the number of attempts

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High Level Standards – Firms: SYSC

Knowledge | Skills | Conduct

Senior Management Arrangements, Systems and Controls (SYSC)

(2.7.1) Original purposes of SYSC

- Encourage directors to take personal responsibility for the firm
- Show how to comply with PRIN 3 (management and control)
- Encourage firms to hold directors responsible for their actions
- Create a ‘common platform’ for firms subject to the CRD and/or MiFID

Effect of SMCR

- These purposes have now been reinforced by the provisions in SMCR relating to senior managers: Senior Management Functions (SMFs) and Prescribed Responsibilities

SYSC 4 and 5 – Corporate Governance

(2.7.4) SYSC 4 – General corporate governance requirements of Board

- Sound governance
  - Experienced management
  - Clear organisational structure with well defined lines of responsibility
- Receive written reports on compliance and internal audit annually
- Apportionment of responsibilities must be clear and appropriate
  - Records kept for 6 years from any change

(2.7.5) SYSC 5 – Applying this to rest of the firm – employees, agents etc.

- Skills, knowledge and expertise
- Segregation of duties
- Awareness and monitoring of procedures

SYSC 10 – Conflicts of Interest

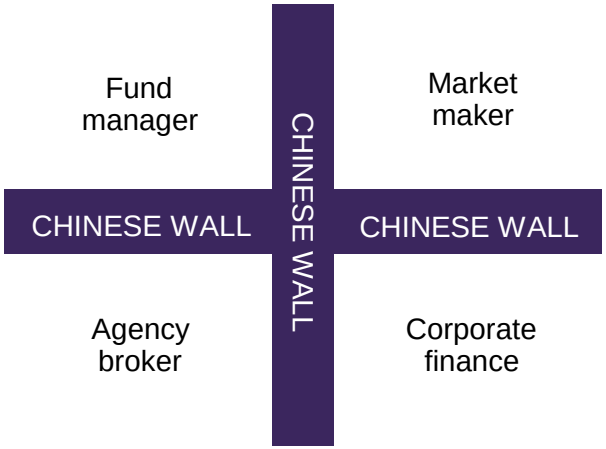
(2.7.10) SYSC 10 - conflicts of interest

- Types of conflict of interest
  - Firm deals as principal
  - An agency trade
  - An ‘agency cross’ trade
  - Firm makes recommendations to client whilst trading on markets
- A firm must have systems and controls in place to manage conflicts
  - Prepare, maintain and implement a conflicts policy
    - In writing
    - Identifies potential conflicts
    - Specifies procedure to manage the conflicts
    - Provide clients (and potential clients) with a description of the policy
  - Implement Chinese walls
  - Disclose to the client the conflict in a durable medium (only as a last resort)

SYSC 10 – Conflicts of Interest

(2.7.10) SYSC 10 - conflicts of interest

- Chinese walls – artificial barriers to the flow of information



  - Where information is kept by (one part of) a firm behind a Chinese wall, the firm does not breach any rule relating to disclosure of information
  - Chinese walls are an option (useful as a defence against a charge of non-disclosure), not a requirement
    - Not mandatory
    - If used, they must be monitored and effective

Executive Remuneration and Ethical Issues

(2.7.11) Remuneration, ethics and excessive risk-taking

- Unbalanced executive incentive programmes have a risk-distorting effect
  - Remuneration is a key driver of behaviour
  - Unbalanced remuneration played a key role in many recent scandals
  - Public perception of unfair/perverse remuneration outcomes undermines market integrity and confidence
- FCA Remuneration Code (SYSC 19 series)
  - Six versions of the Code applying to different types of firm
  - General Requirement, backed up by 12 Remuneration Principles
  - For example, SYSC 19F applies to MiFID firms
    - Firms must not remunerate or assess performance of staff in a way that conflicts with their duty to act in the best interests of the firm's clients

Other SYSC provisions

SYSC 4 - 10 - set out good corporate governance of firms

- SYSC 6: Compliance, internal audit and financial crime
- SYSC 7: Risk control
- SYSC 8: Outsourcing
- SYSC 9: Recordkeeping

Other SYSC provisions worth noting for the exam

- SYSC 12: Group risk systems and control requirements
- SYSC 18: Guidance on Public Interest Disclosure Act: Whistleblowing
- SYSC 22: Regulatory references
- SYSC 23: SM&CR Regime

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High Level Standards – Firms: The Consumer Duty and FTOC

Knowledge | Skills | Conduct

Consumer Duty

(2.6.1) Consumer Duty

- Aim
  - To ensure retail customers receive good outcomes when they purchase products or services
- Scope
  - Any product or service that is or can be distributed to retail clients
    - Whether intentionally or not, e.g. distribution under arrangement by third parties
- Impact on Principles for Businesses for in-scope firms
  - Principle 12 Consumer Duty: A firm must act to deliver good outcomes for retail customers
  - Removal of
    - Principle 6: Customers interests and
    - Principle 7: Communication with clients

Consumer Duty

(2.6.1) Consumer Duty

- Cross-cutting rules
  - Act in good faith towards RC
    - Honest, fair and open dealings, consistency in approach
  - Avoid causing foreseeable harm to RC
    - Disclose inherent risks, proactive to avoid foreseeable harm, do not exploit vulnerabilities
  - Enable and support RC to pursue financial objectives
    - Use information disclosed, be trusted and reliable
- The financial understanding of the target market must always be considered when applying these rules

Consumer Duty

(2.6.1) Consumer Duty

- FCA will assess the success of a firm's Consumer Duty against four outcomes
  - Products and services outcome
    - Fit for purpose
  - Price and value outcome
    - Fair value
  - Consumer services outcome
    - Customer support meets customer's needs
  - Customer understanding outcome
    - Consumer understanding throughout the customer journey

Consumer Duty and Vulnerable Clients

(2.14.4) Vulnerable Clients

- A ‘vulnerable customer’ is someone who, due to their personal circumstances, is especially susceptible to harm
  - This is a conduct risk issue for firms
- Firms should respond to the varying needs of all their customers, rather than taking a ‘one-size-fits-all’ approach to offering services, e.g.:
  - Understand the needs of vulnerable customers, and take practical action
  - Proper staff skills, training and awareness
  - Flexibility in applying ‘terms and conditions’
  - Products designed to be clear and easy to understand
  - Treat customers as individuals
  - Communication should be clear and timely
  - Monitor and evaluate, and make effective use of monitoring outcomes

Fair Treatment of Customers (FTOC)

(2.14.2) Fair Treatment of Customers (FTOC)

- Principle for Businesses 6 – customer's interests
- **N.B. Now only applies to firms outside of scope of Consumer Duty**
- Aim – to deliver six outcomes for customers
  - **Outcome 1:** fair treatment of customers is central to the corporate culture of all firms
  - **Outcome 2:** products and services meet the needs of identified consumer groups and are targeted accordingly
  - **Outcome 3:** consumers are provided with clear information before, during and after the point of sale
  - **Outcome 4:** any advice is suitable and takes account of their circumstances
  - **Outcome 5:** products and services perform as firms have led consumers to expect
  - **Outcome 6:** consumers do not face unreasonable post-sale barriers imposed by firms to change product, switch provider, submit a claim or make a complaint
- Firm must have management information systems to monitor effectiveness
- *Note: FTOC was previously known as 'Treating Customers Fairly' (TCF)*

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High Level Standards – Firms: FINMAR

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Financial Stability and Market Confidence (FINMAR)

(2.11.1) Gathering financial stability information (PRA only)

- Rules apply to firms or individuals (whether authorised or not)
- Situation: PRA believes that their activities pose a risk to the stability of the UK financial system
- PRA may impose a ‘financial stability information requirement’ (a formal demand for relevant information or documents)

Short selling (FCA only)

- Purpose: guidance on FCA’s function under UK Short Selling Regulation (UK SSR)
- Situation: price of a financial instrument has fallen significantly since yesterday’s close
- Should FCA prohibit or restrict short selling or otherwise limit transactions in the instrument? FCA will consider:
  - Whether the price fall is, or may become, disorderly; and
  - Whether the measures taken by FCA will prevent a further disorderly decline in the price

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COBS: Introduction

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COBS Applications (COBS 1)

(2.14.1) General application of the COBS

- The Conduct of Business Rules (COBS) apply to firms conducting designated investment business or conducting long-term insurance business in relation to life policies from an establishment maintained by them (or their appointed representatives) in the UK.
  - Designated investment business is a subset of regulated activities, including MiFID business plus a few other ('non-MiFID') activities

(2.14.2) Acting in the client's best interests

- All firms must ensure that they act honestly, fairly and professionally.
  - Clients' best interests rule
  - Since MiFID II, this rule covers **all clients** (i.e. RC, PC and EC)

Exclusion of liability

- Firm may **not** seek to exclude its liability to:
  - FSMA and the FCA rules for **any client**
  - The general law for **retail clients** (unless honest/fair/professional to do so)

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COBS: Client Categorisation

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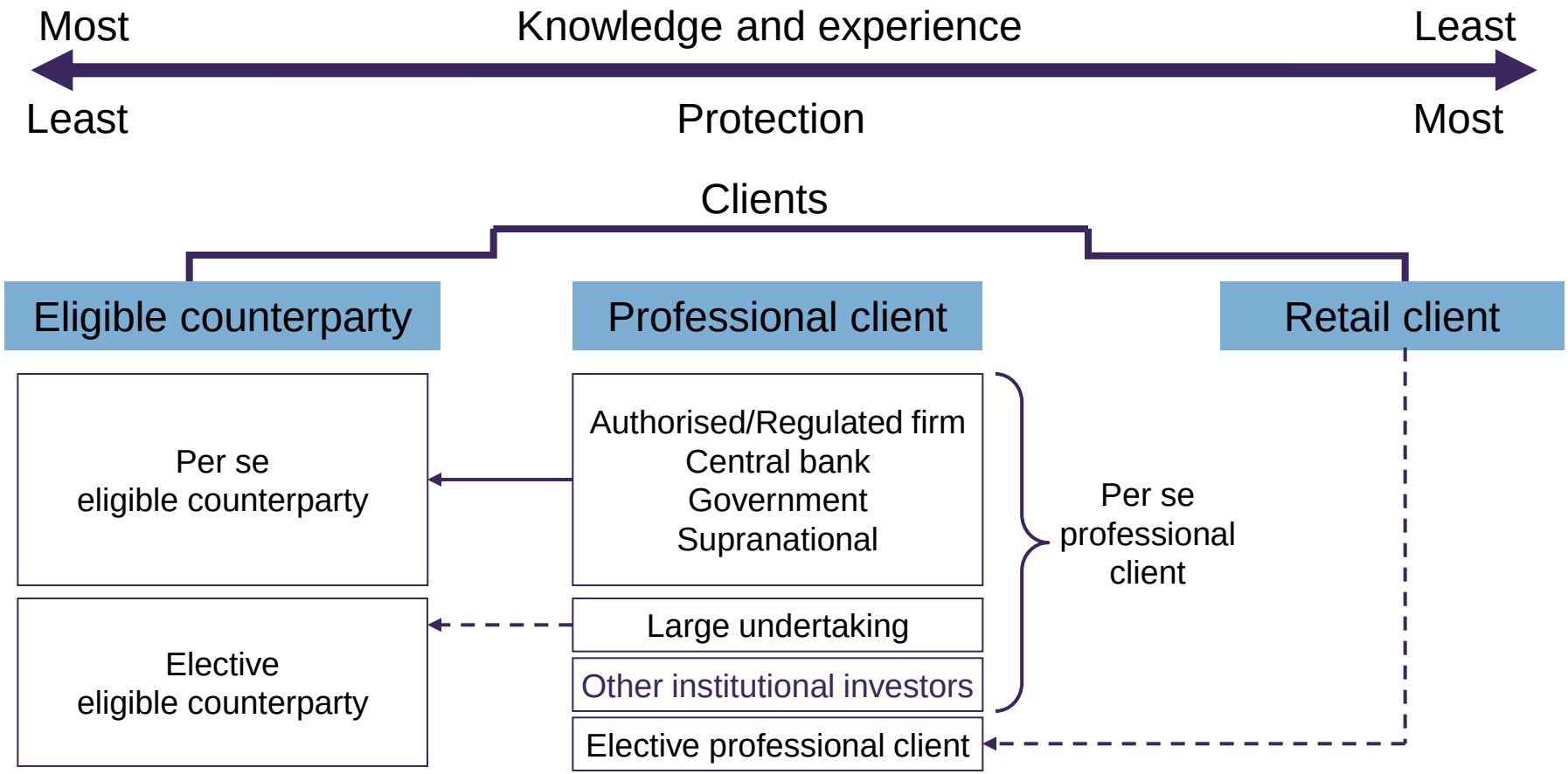
Client Categorisation (COBS 3)

(2.14.3) Client categorisation



Client Categorisation (COBS 3)

(2.14.3) Client categories

Professional clients

- A professional client is either a ‘per se’ professional client or an ‘elective’ professional client

Per se professional clients

- Authorised/regulated firm
- Government, central bank, supranational
- Other institutional investors, e.g. special-purpose vehicles
- Large undertaking
  - At a company level, a large undertaking must satisfy at least two of the following:
    - Balance sheet: €20 million
    - Net turnover: €40 million
    - Own funds: €2 million

Client Categorisation (COBS 3)

(2.14.3) Recategorising clients

Elective professional clients (RC → PC)

- Qualitative test (all business)
  - Firm to assess expertise, experience and knowledge to provide reasonable assurance about capability and understanding

and

- Quantitative test (MiFID business only)
  - Meet two of the following three:
    - Average trade frequency: 10 per quarter over previous four quarters
    - Portfolio > €500,000
    - Works or worked in financial sector for ≥ one year in professional capacity
- Procedure
  - Written intent from client to be classified as professional
  - Written warning to client explaining lost protection
  - Written client consent to lost protection

Client Categorisation (COBS 3)

(2.14.3) Client categories

Eligible counterparties

- An eligible counterparty is either a ‘per se’ eligible counterparty or an ‘elective’ eligible counterparty
- The classification only relates to ‘eligible counterparty business’ dealing on own account and/or executing orders on behalf of clients

(2.14.3) Recategorising clients

Elective eligible counterparties (PC → EC)

- Available to any undertaking that is a per se professional client (except an institutional investor) – i.e. a large undertaking
- Procedure
  - Obtain client confirmation to be treated as an eligible counterparty

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COBS: General Obligations

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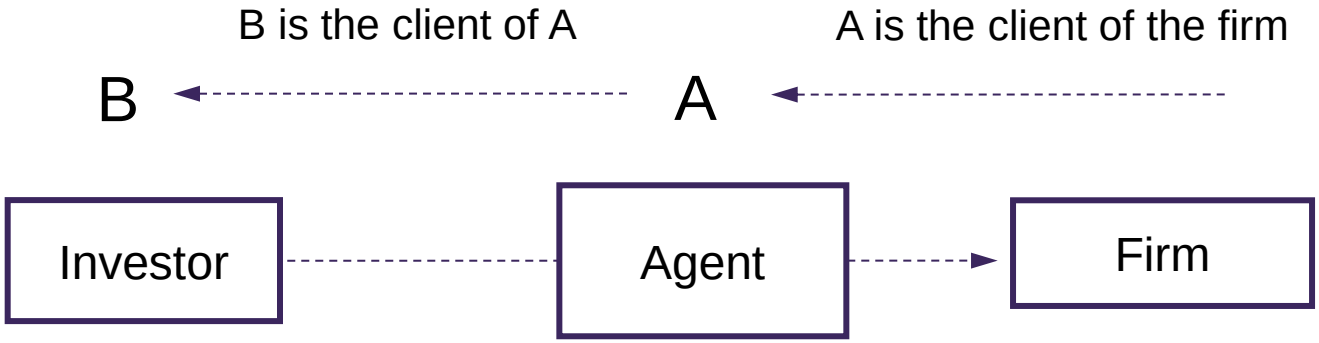
Conduct of Business Obligations (COBS 2)

(2.14.2) Acting as agent

- Acting as agent



  - Where the person with whom the firm is dealing (A) is acting as an agent of another person (B), then A should be regarded as the client by the firm.
  - Exceptions
    - There is a written agreement to treat B as the client.
    - The purpose of the agency is to avoid the firm's duties owed to B.

Conduct of Business Obligations (COBS 2)

(2.14.2) Reliance on others

- MiFID firms
  - A firm may rely on the information and recommendations made by another MiFID firm
- Non-MiFID firms
  - A firm may rely on information if:
    - The information is in writing
    - The third party is independent
    - The third party is competent

Conduct of Business Obligations (COBS 2)

(2.14.2) Inducements

- MiFID II strengthened inducement rules, to reduce risk of conflicts of interest
- For MiFID business
  - A firm must not pay to, or accept from, a person other than the client, any fee, commission or non-monetary benefit unless:
    - The fee (etc.) is designed to enhance the quality of service to the client.
    - The fee (etc.) does not impair the firm's duty to act in the best interests of the client.
  - Disclosure
    - The firm must disclose the existence, nature and amount of the fee (etc.) to the client before providing the service.
  - Proper fees necessary for the provision of the business (e.g. custody costs, settlement fees, legal fees, etc.) are permissible
- This prohibition does not apply to 'minor non-monetary benefits'

Conduct of Business Obligations (COBS 2)

(2.14.2) Inducements and research

- Firms must apply a charge for research when providing it to other firms
  - The receiving firm can only use the research if it pays for it with either:
    - Direct payments by the firm out of its own resources; or
    - Payments from a separate research payment account controlled by the firm
- The research payment account
  - The account must only be funded by a specific research charge agreed with and charged to clients
  - The firm must disclose:
    - The budget, as well as the charges, before providing services
    - Annual information on the total costs that each client has incurred for third-party research
- The firm must also regularly assess the quality and effectiveness of the research paid for

Conduct of Business Obligations (COBS 2)

(2.14.2) Information about the firm

- A firm must provide relevant information in a comprehensible form to the client.
  - Name and address of firm and appropriate contact details
  - Method and language of communication
  - Designated investments and proposed investment strategies (including guidance and warnings about associated risks)
  - Execution venues
  - A statement that the firm is authorised and the name of their regulator
  - Whether the firm is acting directly, or through an appointed representative
  - Nature, frequency and timing of performance reports
  - Conflicts of interest policy
  - Safeguarding of client assets and client money
  - Costs and associated charges
  - Compensation schemes (for retail clients only)
- This information is typically produced in a standardised format, and will be provided in an initial disclosure document (IDD) before engaging in business.

FitchLearning

COBS: Communications

Knowledge | Skills | Conduct

Financial Promotions – Introduction

- **(2.14.4) Section 21 FSMA: the law**
  - You **must not** communicate a financial promotion unless:
    - You are an authorised person; or
    - The content has been approved in advance by an authorised person
  - Penalty for breach of Section 21: same as those for breach of Section 19 General Prohibition (both criminal and civil)
- **Financial promotion definition**
  - Any invitation or inducement to engage in investment activity communicated in the course of business
- **Financial Promotions Order (FPO)**
  - Lists those financial promotions that are exempt from both:
    - Section 21 restrictions
    - Conduct of Business Rules

Communications With Clients (COBS 4)

(2.14.4) Approval of financial promotions

- Before a firm approves a financial promotion, it must confirm that it complies with the COBS.
- A firm that communicates a financial promotion produced by another firm must:
  - Establish that an authorised firm has approved the promotion
  - Communicate the promotion only to those for whom it is intended
  - Check that the promotion is still fair, clear and not misleading (i.e. not out of date)

(2.14.4) Communications to retail clients

- Where any communication is likely to be received by a retail client firms must ensure that:
  - The firm's name is included
  - Financial promotions are clearly identifiable as such
  - Details are accurate and fair
  - The communication is comprehensible
  - The communication does not obscure important items, statements or warnings

Communications With Clients (COBS 4)

(2.14.4) Past, simulated past and future performance

- Past performance
  - Must not be the most prominent feature
  - Cover at least five years (or life of investment) in complete 12-month periods
  - Reference periods and sources must be clearly shown
  - State this is not an indicator of future performance
  - If relevant, currency stated and warning of currency risk provided
  - Disclose effect of fees and commissions if gross performance shown

- Simulated past
  - Must be based on actual performance of a similar investment/index
  - Comply with the rules above

Communications With Clients (COBS 4)

(2.14.4) Past, simulated past and future performance (cont.)

- Future performance
  - Must not be based on, or refer to, simulated past performance
  - Assumptions must be reasonable and supported by objective data
  - Disclose effect of fees and commissions if gross performance shown
  - Warn that forecasts are not reliable indicators of future performance

(2.14.4) Direct offer or invitations

- A financial promotion that contains a method of response for the client to invest in a product
  - For example, an application form
- Must contain sufficient information to enable a person to make an informed assessment

Communications With Clients (COBS 4)

(2.14.4) Promotions that are not in writing

- All non-written promotions (both solicited and unsolicited):
  - Must be fair, clear and not misleading
  - Employee of firm must identify:
    - Themselves
    - Their employer
    - The purpose of the call
  - Ask whether the client wishes to continue with the call, and terminate it if requested to do so
    - Provide client with contact point at firm
    - Communicate at an appropriate time of day

Communications With Clients (COBS 4)

(2.14.4) Promotions that are not in writing

- Cold calls (‘unsolicited’)
  - Permitted cold calls
    - An existing client who opts into telephone marketing
    - Call relates to generally marketable packaged product (not a high-volatility fund)
    - Call relates to services where the only investment involved is either readily realisable securities other than warrants, or generally marketable non-geared packaged product

- Packaged products
  - Life insurance policy
  - Pension scheme
  - Regulated collective investment scheme
  - Interest in an investment trust savings scheme

Communications With Clients (COBS 4)

(2.14.4) FCA Guidance on Financial Promotions on Social Media

- Firms are responsible for all promotions, including those on social media
  - Firms are reminded of the ‘fair, clear and not misleading’ requirement
  - Firms are responsible for ensuring that the ‘influencers’ they work with communicate to their followers in the right way
  - Influencers promoting financial products without approval from an FCA firm could be committing a criminal offence under s21 FSMA
  - Further detail for firms to consider include:
    - Stand-alone compliance
    - Prominence
    - Suitability of social media for financial promotions
    - Risk warnings and other required statements
    - Broad territorial scope of regime

Communications With Clients (COBS 4)

(2.14.4) Restrictions on promoting speculative illiquid securities to retail clients

- Preventing harm to retail clients investing in high-risk products they do not understand and are unsuitable
  - Banning financial promotion of certain products to retail clients, e.g.:
    - Mini-bonds
    - Preference shares
  - Improving disclosures of key risks and costs for other high-risk products, e.g. cryptoassets:
    - Personalised, improved risk warnings
    - Minimum 24-hour cooling off periods for new investors
    - Improvements to training and supervision of advisors

Distance Communications (COBS 5)

(2.14.5) Electronic commerce directive

- Removes restrictions on the cross-border provision of e-commerce services (e.g. internet, email, interactive TV)
- Introduces a country of origin (‘home state’) approach to the regulation of e-commerce activities

(2.14.5) Distance marketing directive

- Ensures that, where there is no face-to-face contact between the customer and the firm, retail customers (i.e. natural persons not acting in trade, business or profession):
  - Are given minimum specified information about a financial product; and
  - Have a right to cancel

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COBS: Regulations Regarding Advice

Knowledge | Skills | Conduct

Investment Advice

(2.14.8) Retail Distribution Review (RDR) (2013)

- Standards of professionalism applying to providers of retail investment products
- Firms making personal recommendations must be either:
  - Independent
  - Restricted
- Must disclose this status to the client, together with the cost of the service it is providing, in good time before providing a service or the client is bound by any agreement
- Remuneration
  - Adviser charges agreed in advance with the client (no commissions from the product provider permitted) ‘as early as practicable’ in a durable medium or via a website
  - Clients can choose to pay the adviser charge upfront or have it deducted from their investment
  - Trail commissions from existing products are banned

Investment Advice

(2.14.8) Retail Distribution Review (RDR) (cont.)

- Standards of professionalism applying to providers of retail investment products
- Retail investment advisors must hold a Statement of Professional Standing (SPS) from an accredited body (e.g. CISI)
- SPS confirms that a retail investment advisor has:
  - Gained an approved qualification from the list in the FCA Handbook
  - Completed a minimum of 35 hours CPD per year, of which at least 21 must be structured CPD
  - Completed an annual declaration
    - Acted in accordance with FCA Conduct Rules
    - Adhered to a code of ethics
  - Firms must send reports confirming the qualification status of retail investment advisors to FCA

Investment Advice

(2.14.8) Financial Advice Market Review (FAMR) (2015)

- Aimed to examine how financial advice could work better for consumers
  - Followed on from RDR
  - Emerging issues, e.g. new pensions freedoms

Main recommendations of FAMR

- Affordability
  - More affordable advice for consumers
- Accessibility
  - Easier access to advice for consumers
- Liabilities and consumer redress
  - Addressing industry concerns regarding advice given before RDR, without diluting consumer protection

FitchLearning

COBS: Suitability and Appropriateness

Knowledge | Skills | Conduct

Suitability (COBS 9)

(2.14.9) Suitability

- This rule requires firms to obtain sufficient information to give suitable advice
- Application
  - Personal recommendation
  - Acting as investment manager
- Relevant personal and financial information is obtained via a ‘fact find’
- Give suitable advice with regard to the information disclosed and other facts that the firm ought reasonably to be aware of in order:
  - To meet the client’s investment objectives (PC and RC)
  - That the client is able to bear financial risks (elective PC and RC)
  - That the client has the necessary knowledge and experience to understand those risks (RC only)
- Churning and switching are considered unsuitable

Suitability (COBS 9)

(2.14.9) Suitability report

- Purpose is to confirm why the firm believes the recommendation is suitable and should be provided for both MiFID and non-MiFID investments
  - Specify the client's demands and needs
  - Explain why the firm believes the recommended transaction meets those needs
  - Explains any possible disadvantages of the transaction for the client

Appropriateness (COBS 10)

(2.14.10) Appropriateness

- Assessing appropriateness is not necessary for execution-only business involving non-complex financial instruments
- Purpose is to ensure the firm obtains sufficient information to assess if a product is appropriate for the customer
- Before acting, the firm must assess whether the client:
  - Is able to bear the financial risks in relation to the product or service
  - Has the knowledge and experience to understand those risks (retail clients only)
- Warnings are provided when:
  - The firm believes the investment or service is not appropriate
  - The client has not produced sufficient information for the firm to come to a conclusion

FitchLearning

COBS: Dealing and Managing

Knowledge | Skills | Conduct

Dealing and Managing (COBS 11)

(2.14.12) Best execution

- Purpose
  - A firm must take all sufficient steps to obtain the best possible result for its clients, taking into account the execution factors
    - If a firm owes contractual or agency obligations to a client, and
    - Is acting on behalf of that client
  - Does not apply to the operator of a regulated collective investment scheme
- Execution factors
  - Price, costs, speed, likelihood of execution and settlement or any other consideration
- Best execution criteria
  - Client categorisation
  - Type of order
  - Type of financial instrument being traded
  - Characteristics of execution venues

Dealing and Managing (COBS 11)

(2.14.12) Order execution policy

- Purpose
  - To ensure that a firm obtains the best possible result for the client
  - To be provided before providing services
- Prescribed information
  - A list of execution venues
  - Factors that will affect the firm's choice of venues
  - Additional information for retail clients
- Consent from client required (can be tacit)
  - Monitored and reviewed annually
  - Notify clients of any material changes

Specific client instructions

- When acting on specific client instructions a firm is deemed to have obtained 'the best possible result'

Dealing and Managing (COBS 11)

(2.14.12) Client order handling

- Purpose
  - Prompt, fair and expeditious execution of client orders
- In general, orders should be:
  - Promptly recorded and allocated
  - Carried out sequentially
- Exceptions
  - Interests of the client
  - Material difficulty

Dealing and Managing (COBS 11)

(2.14.12) Aggregation and allocation

- Aggregation is permitted if:
  - Aggregation is unlikely to operate to the disadvantage of clients
  - Disclose (oral or written) that on some occasions it may operate to the disadvantage of clients
  - Order allocation policy is in place
    - Including how partial allocations are dealt with
- Timely allocation
  - **Promptly** and in accordance with the order allocation policy
- Fair allocation
  - Allocate to clients first

  Unless
  - The firm has reasonable grounds to allocate proportionally

Dealing and Managing (COBS 11)

(2.14.12) Limit orders

- Limit orders not executed immediately must be made public
- Unless either:
  - Client expressly instructs otherwise
  - The limit order is greater than approximately 10% of the average daily trading volume

Dealing and Managing (COBS 11)

(2.14.12) Personal account dealing

- Applies to all firms conducting designated investment business
- Arrangements to prevent inappropriate dealings which:
  - Are prohibited under the Market Abuse Regulation
  - Involve misuse or disclosure of confidential client information
  - Conflict with the firm's obligations to the client
- Arrangements
  - Relevant persons are aware of the restrictions
  - Relevant persons inform the firm of any personal account deal
  - Firm records all notification of all personal account deals
- The rules on personal account dealing do not apply to personal transactions in:
  - Independently managed discretionary portfolios
  - Shares in regulated CISs
  - Life assurance policies

Investment Research (MAR)

(2.14.14) Conflict of interest in relation to investment research

- Where a firm publishes research to its clients or the public it must ensure:
  - It does not receive inducement from those with a material interest
  - Not to promise issuers favourable coverage
  - Issuers covered are not permitted to review drafts of the research
- A firm must not knowingly deal for its own account until the clients for whom the publication was intended have had a reasonable time to react to it unless:
  - The firm is a market maker dealing in the normal course of business, or
  - Unsolicited client order

N.B. This rule used to be under COBS 12 – now it is part of the Market Abuse Regulation (MAR).

FitchLearning

COBS: Reporting

Knowledge | Skills | Conduct

Reporting to Clients (COBS 16)

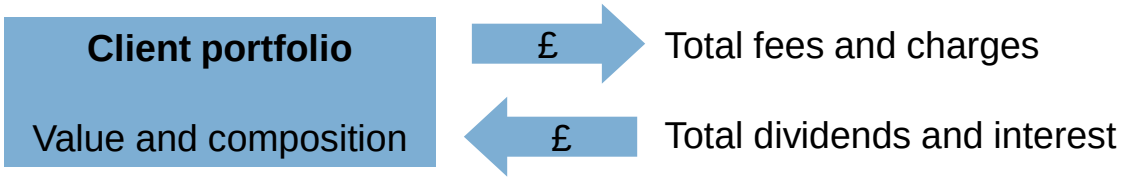
(2.14.15) Transaction confirmations ('occasional reports')

- Ensures clients are advised of the details of a transaction (including costs)
- Requirement to confirm a transaction
  - Promptly
    - For retail clients this means no later than the next business day
- Information to be provided
  - Essential information on the trade
  - Status of order (on request)
- Exceptions
  - For MiFID business – **none**
  - For non-MiFID business:
    - If requested by the client
    - Life policy or personal pension scheme

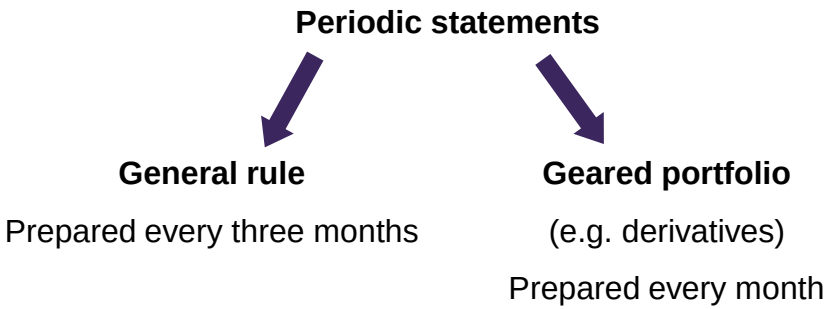
Reporting to Clients (COBS 16)

(2.14.15) Statements ('periodic reports')

- Shows performance during period, including benchmark comparisons
- Periodic information



- Timings



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COBS: Quick Reference

Knowledge | Skills | Conduct

COBS Quick Reference

Quick reference

- Rules that include **eligible counterparties ('all clients')**
  - Client categorisation
  - Most information disclosure rules
  - Conflict of interest rules
  - Investment research
  - Personal account dealing
  - Occasional and periodic reporting rules
- Rules that apply to **retail clients only**
  - Financial promotions rules
  - Retail Distribution Review (RDR) regulations
  - Retail investment product disclosures (i.e. factsheets)
- All other rules apply to **retail and professional clients ('all customers')**

FitchLearning

Client Asset Regulations

Knowledge | Skills | Conduct

Client Asset Rules (CASS)

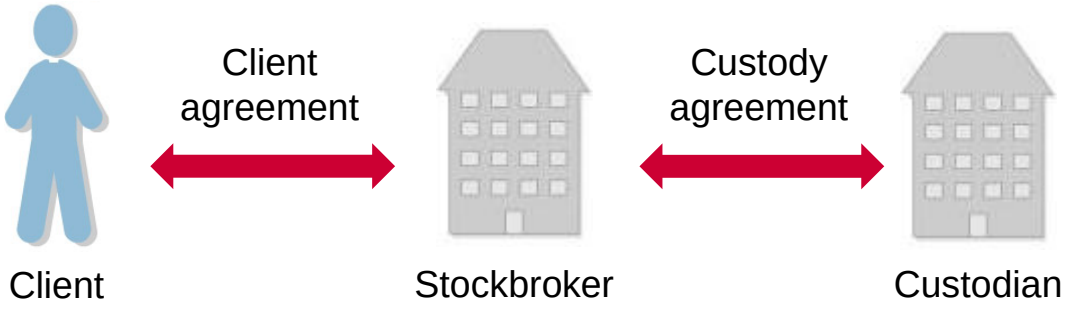
(2.15.1) The purpose of the client money and custody rules

- Purpose
  - The firm's duty to provide adequate protection for client assets and client money
  - **PRIN 10**: 'A firm must arrange adequate protection for clients' assets when it is responsible for them'
  - **CASS** applies to FCA only; it does not appear in PRA rulebook
- Segregation from the firm's own money and assets
  - For client assets, hold registration in a different legal name to that of the firm
  - For client money, hold money in an approved bank in an account identified as separate from the account holding the firm's own money
- Regular reconciliations
  - Bookkeeping and reporting (records must be kept for five years)
  - Excess/shortfall corrected as soon as possible (at firm's expense)
  - If firm cannot reconcile, must inform the FCA without delay

Custody Rules (CASS 6)

(2.15.1) Custody rules

- CASS 6 – Custody rules
  - Binding on both MiFID and non-MiFID firms



- **Client agreement**
  - Relevant terms and conditions
  - For retail client, if stock lent out, must be covered by collateral

- **Custody agreement**
  - Title ≠ Firm's
  - Assets separate from firm's/custodian's
  - Custodian statements
  - No lien, right of retention, sale
  - Arrangements for instructions
  - Extent of custodian's liability, etc.

Custody Rules (CASS 6)

(2.15.2) Client asset reconciliations

- Reconcile records of each client asset account (internal or external)
  - As often as necessary
    - Firm holds custody assets ('internal reconciliation') – at least every six months
    - Firm uses custodian to hold custody assets ('external reconciliation') – at least once a month
  - Shortfalls or excess corrected as soon as possible

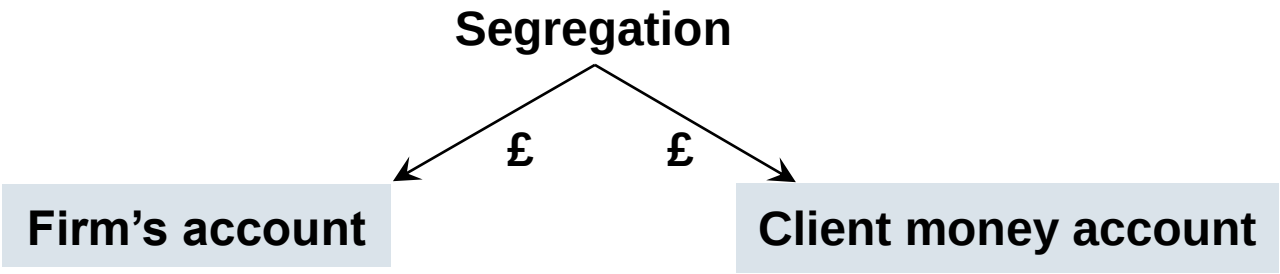
Meaning of 'custody assets'

- CASS 6 covers 'custody assets'
  - MiFID instruments
  - Non-MiFID designated investments
  - Any other asset held in same portfolio as designated investments

Client Money Rules (CASS 7)

(2.15.1) The client money rules

- CASS 7 – client money rules
  - Binding on MiFID firms, guidance for non-MiFID firms



- Mixed remittances
  - All into client account
  - Remove firm's money after funds have cleared
- Interest paid on client money account
  - Belongs to client (if RC) (unless otherwise agreed)
  - Becomes client money

Client Money Rules (CASS 7)

(2.15.3) Client money reconciliations

- ‘Internal reconciliation’ (timing: every day)
  - Client money resource ≥ Client money requirement
- ‘External reconciliation’ (timing: at least once a month)
  - Client money account balances (‘as soon as reasonably practicable’ after the day to which the reconciliation relates)

Client money – ‘approved bank’

- List of approved banks maintained by FCA
- Risk/suitability assessment of bank selected by firm
- Client money held in trust by bank
- Bank outside of UK: only OK if client notified and risk warning given

FitchLearning

Regulator Enforcement Powers

Knowledge | Skills | Conduct

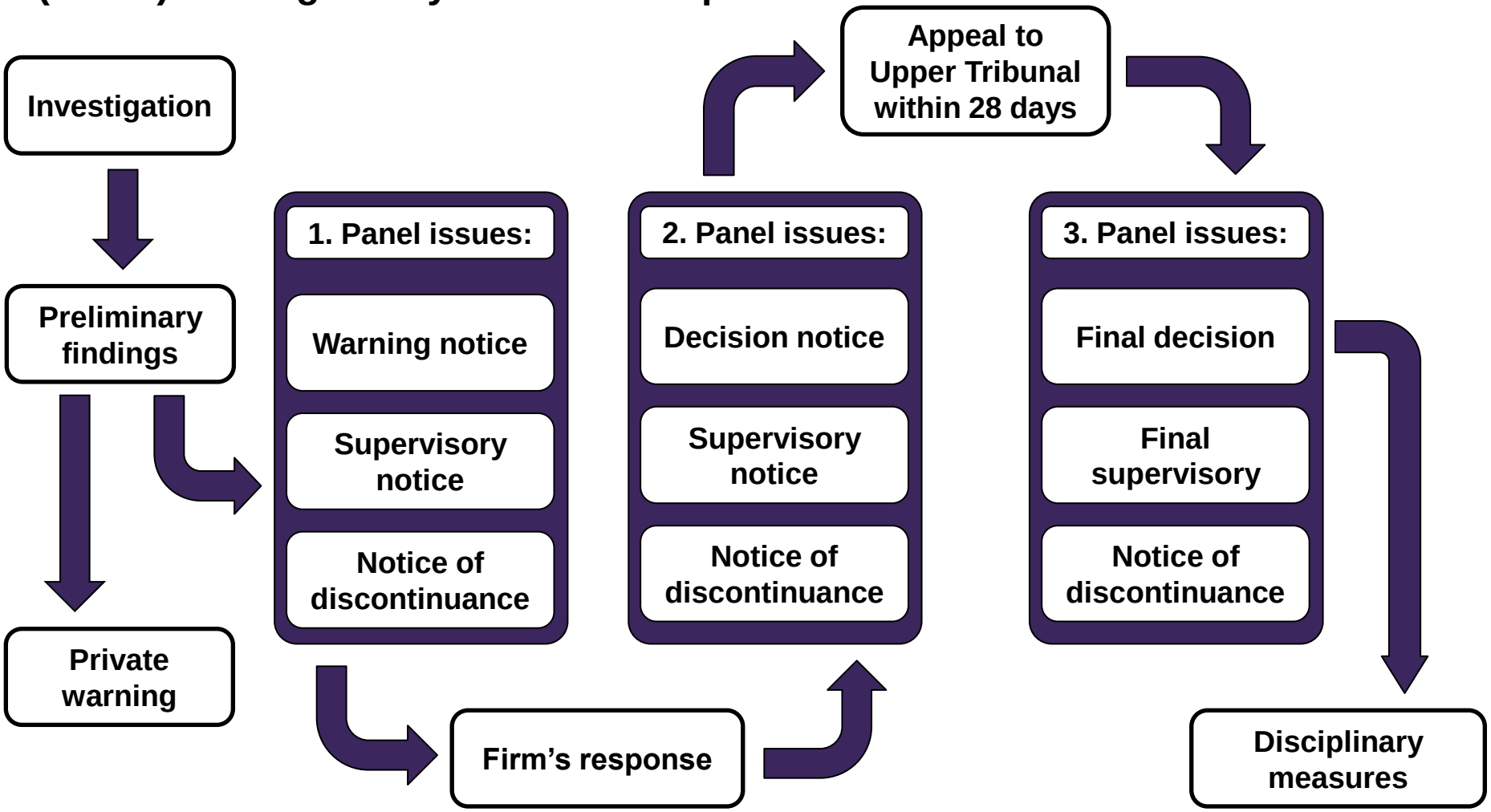
Regulator Enforcement Powers

(2.17.1) Investigation and enforcement powers of the FCA/PRA

- Powers of enforcement officers (s.165)
  - Enter the premises of an authorised firm without notice
  - Demand access to documents, files, tapes, data (etc.) and take copies
  - Information/documentation must be provided within a reasonable time period
  - Interview any employee
- FSMA grants investigatory powers to the regulator
  - Direct firms to appoint competent persons to give information to the regulator (s.167)
  - Appoint a third party to carry out the investigation (at firm's expense) (s.168)
  - Failure to cooperate is a criminal offence (s.177)
  - Providing false or misleading evidence is a criminal offence (s.177)
- FCA disciplinary panel: Regulatory Decisions Committee (RDC)
- PRA disciplinary panel : Enforcement Decision Making Committee (EDMC)

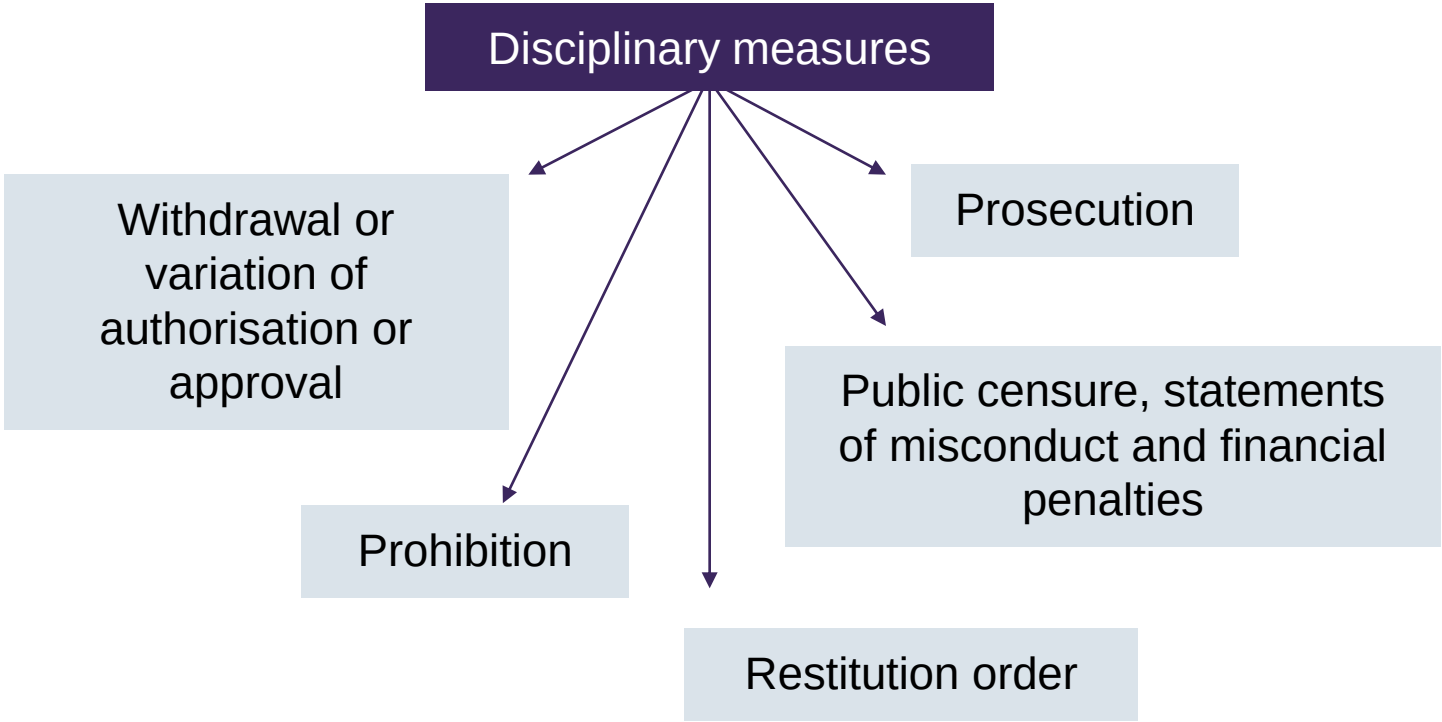
The Regulatory Decisions Committee

(2.17.1) The regulatory enforcement process



The Regulatory Enforcement Processes

(2.17.3) Disciplinary processes and measures



Injunctions and Restitution Orders

(2.17.1) Injunctions

- A legal order instructing the recipient to stop doing something
  - Can be applied by the civil court upon anybody (whether an authorised firm or not)
  - If breached, this is contempt of court

Restitution orders

- A legal order instructing the recipient to hand over money to compensate for damages caused to victims of recipient's actions
  - Can be applied by the civil court upon anybody (whether an authorised firm or not)
    - If breached, this is contempt of court
    - Money is paid to regulator, for distribution to victims
  - Can also be applied by FCA/PRA upon authorised firms
    - If breached, this is a regulatory offence – firm is no longer 'fit and proper'
    - Money is paid directly from firm to victims
    - Can be appealed to Upper Tribunal

The Cost of Non-Compliance

(2.18.1) The cost of non-compliance

- The FCA has a five-step penalty-setting framework for rule-breaking firms
  - Removing any profits made from the misconduct (‘disgorgement’)
  - Setting a figure to reflect the seriousness of the breach
  - Considering any aggravating and mitigating factors (‘discipline’)
  - Achieving the appropriate deterrent effect (‘deterrence’)
  - Applying any settlement discount

s.166 Senior manager attestations

- FCA uses attestations to place accountability for firm actions directly at the feet of senior managers
  - A senior individual puts his or her name to a particular measure, effectively giving an implementation guarantee
  - A personal commitment by an approved person at a regulated firm that a specific action has been, or will be, taken

FitchLearning

Complaints, the FOS and the FSCS

Knowledge | Skills | Conduct

Complaints and the FOS

(2.19.1) Complaints and the Financial Ombudsman Service (FOS)

- Eligible complainants are retail clients who are also:
  - A consumer
  - Small- and medium-enterprises (SMEs) with annual turnover less than £6.5 million and either fewer than 50 employees or balance sheet less than £5 million
  - Charities with annual income of up to £6.5 million
  - Trustees of trusts with net assets of up to £5 million
- Firm has eight weeks to resolve complaint
  - If unresolved, complainant has six months to take matter to FOS for arbitration
- FOS compensation
  - Maximum award to complainants: £445,000 (and reasonable costs)
    - Financial loss, pain and suffering, damage to reputation and distress and inconvenience
  - If the complainant **accepts** the award, it is binding on the firm
  - If the complainant **rejects** the award, they can pursue the matter through the courts

Super Complaints and Mass Detriment References

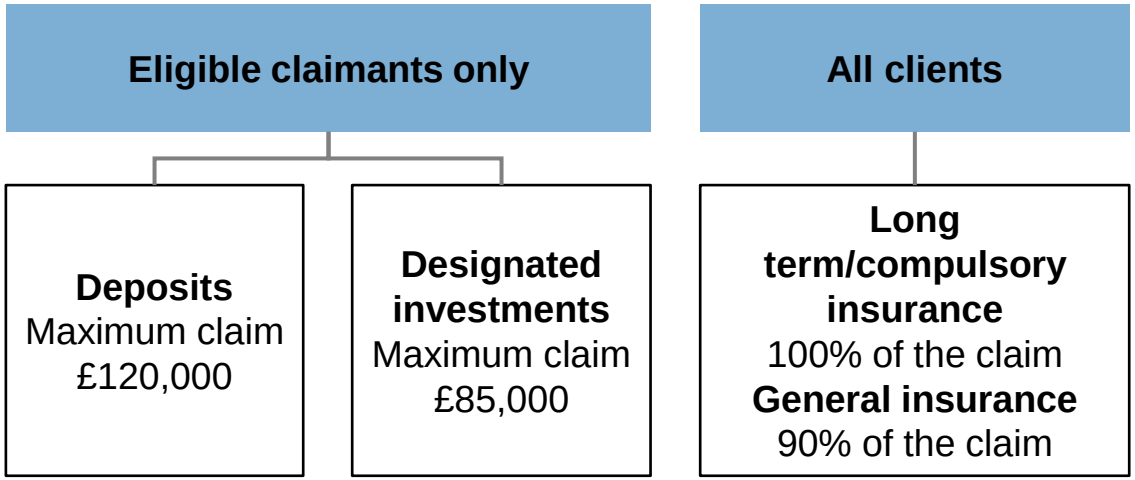
(2.19.4) Super complaints and mass detriment references

- Provisions introduced due to FSA 2012 s43, inserted into FSMA s234
- Super complaints can be made by consumer bodies directly to the FCA
  - Significant damage to consumer interests
  - A recent example is ‘Which?’, complaining about home and travel insurance
- Mass detriment references can be made by FOS, or by firms themselves
  - Regular failures by a firm (or firms) to comply with regulatory requirements, resulting in loss or potential loss to consumers
  - Firm acting in a way in which, if a complaint was to be made to FOS, the FOS is likely to find in favour of the complainant
  - A recent example is the ‘Motor Finance Redress Scheme’
- FCA must respond within 90 days to super-complaints or mass detriment references
  - Must set out, with reasons, the action the regulator proposes to take

Financial Services Compensation Scheme

(2.19.5) The Financial Services Compensation Scheme (FSCS)

- Allows clients to claim for losses when an authorised firm suffers insolvency
  - Eligible claimants are most customers, except other authorised firms, foreign firms and large companies
  - Must exhaust all legal routes to recovery before attempting to use FSCS



FitchLearning

Whistleblowing

Knowledge | Skills | Conduct

Whistleblowing: The Law

(2.23.1) Public Interest Disclosure Act 1998 (PIDA)

- If a worker informs a regulatory authority about a relevant concern arising at their workplace (a '**protected disclosure**'), their employer may not take action against them in retaliation
  - Any clause in a contract of employment is void if it precludes a worker from making a protected disclosure

Protected disclosures

- A protected disclosure is one made **in the public interest**:
  - A criminal offence
  - A failure to comply with any legal obligation
  - A miscarriage of justice
  - Endangering an individual's health and safety
  - Damage to the environment
  - Deliberate concealment of any of the above

Whistleblowing: Appropriate Procedures

(2.23.1) Whistleblowing – internal arrangements (under SYSC 18.3)

- A firm must establish, implement and maintain appropriate and effective arrangements for the disclosure of reportable concerns by whistleblowers
- These arrangements must cover:
  - Confidentiality (if requested) for whistleblowers
  - Assessment of disclosures and escalation to FCA/PRA, if appropriate
  - No victimisation of whistleblowers
  - Feedback for whistleblowers
  - Preparation and maintenance of records
  - Annual report to the firm’s board on operation of the system
  - Training for employees and managers
  - Employees may disclose direct to FCA/PRA, bypassing the firm

Whistleblowing: Other factors

(2.23.2) Link to fitness and propriety

- The FCA would regard as a serious matter any evidence that a firm had acted to the detriment of a whistleblower
- Such evidence could call into question fitness and propriety:
  - Firm (Threshold Condition 5: Suitability)
  - A staff member (status as an approved person or a certification employee)

Whistleblowers' Champion

- Under the Senior Managers Regime, banks and insurers must appoint a director or senior manager as the firm's Whistleblowers' Champion
  - This is an FCA-prescribed senior management responsibility